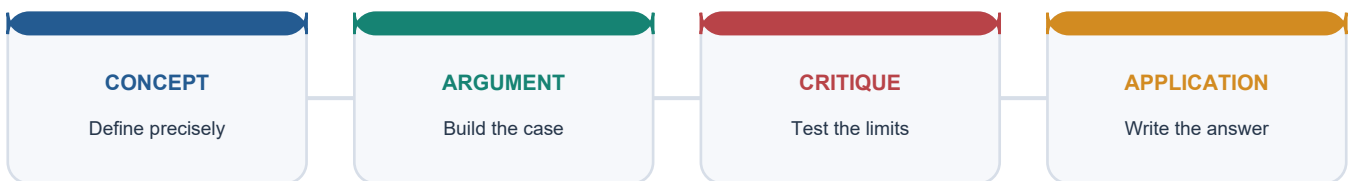


SOLVED PRACTICE WORKBOOK

Economy Topic 8: Solved Practice Workbook

Solved Practice Workbook

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Economy Topic 8 - Solved Practice Workbook 4

BASIC MCQS / REMEDIATION 4

MCQ 1	4
MCQ 2	4
MCQ 3	5
MCQ 4	5
MCQ 5	5
MCQ 6	6
MCQ 7	6
MCQ 8	6
MCQ 9	7
MCQ 10	7
MCQ 11	7
MCQ 12	8
MCQ 13	8
MCQ 14	8
MCQ 15	9
MCQ 16	9
MCQ 17	9
MCQ 18	10
MCQ 19	10
MCQ 20	10
MCQ 21	11
MCQ 22	11
MCQ 23	11
MCQ 24	12
MCQ 25	12
MCQ 26	12
MCQ 27	13

MCQ 28	13
MCQ 29	13
MCQ 30	14
MCQ 31	14
MCQ 32	14
PYQS AND ANSWER PRACTICE	15
Official-key discipline	15
PYQ 1 - UPSC Prelims 2025, Q1	15
PYQ 2 - UPSC Prelims 2025, Q7	15
PYQ 3 - UPSC Prelims 2025, Q8	16
Routed PYQ 4 - UPSC Prelims 2026, Q90	16
Historical routed demands - official keys unavailable locally	16
ORIGINAL MAINS PRACTICE AND MODEL ANSWERS	17

Economy Topic 8 - Solved Practice Workbook

Current-law cutoff: 9 September 2026 **Instruction:** answer before reading the option explanations. Nothing here is investment advice.

Exactly 32 original MCQs cover claims, bond mathematics, equity ratios, derivatives, funds, regulation and systemic risk. Correct options rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

Which statement most accurately distinguishes a bond from an ordinary equity share?

- A. A bond is a creditor claim with contractual payments; equity is a residual ownership claim
- B. Both are ownership claims with identical voting rights
- C. Equity promises principal repayment at a fixed maturity
- D. A bondholder is always paid in full before every other claimant

Answer: A.

Option-specific explanations:

- **A - Correct:** Debt-equity classification begins with legal claim, payment obligation and residual status.
- **B - Incorrect:** Bondholders are creditors and ordinarily do not possess the voting position of ordinary shareholders.
- **C - Incorrect:** Ordinary equity has no contractual maturity or promised redemption of principal.
- **D - Incorrect:** Priority is relative and actual recovery depends on security, seniority, assets and insolvency law.

Examiner trap 1: Do not convert relative repayment priority into a guarantee of full recovery.

MCQ 2

Consider the following statements:

1. A secured bond has recourse to specified collateral.
2. A subordinated bond ranks behind senior debt.
3. Every listed bond is sovereign-guaranteed.

Which statements are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Statement 2 also correctly identifies the lower priority of subordinated debt.
- **B - Correct:** Security and seniority are separate dimensions, and neither listing nor rating assures repayment.
- **C - Incorrect:** Statement 1 is correct, while exchange listing does not create a sovereign guarantee.
- **D - Incorrect:** The first two are contractual distinctions; statement 3 invents a guarantee unrelated to listing.

Examiner trap 2: Listed, secured, senior and guaranteed are four different attributes.

MCQ 3

A bond's coupon rate is best defined as:

- A. Annual coupon divided by current market price
- B. The discount rate equating all cash flows with current price
- C. Annual contractual coupon divided by face value
- D. The bond's annual capital gain divided by issue price

Answer: C.

Option-specific explanations:

- **A - Incorrect:** That calculation is current yield rather than coupon rate.
- **B - Incorrect:** That is yield to maturity under its assumptions.
- **C - Correct:** The coupon rate is written into the contract against face value and can differ from market-based yields.
- **D - Incorrect:** Capital gain is not the contractual coupon calculation.

Examiner trap 3: Coupon rate does not automatically equal current yield or realised return.

MCQ 4

Why does the market price of a plain fixed-coupon bond generally fall when required yield rises?

- A. The issuer automatically cuts the printed coupon
- B. The bond's face value rises above redemption value
- C. Every rise in yield proves immediate issuer default
- D. A higher discount rate lowers the present value of fixed promised cash flows

Answer: D.

Option-specific explanations:

- **A - Incorrect:** A fixed coupon does not reset merely because market yields move.
- **B - Incorrect:** Face and redemption terms ordinarily remain contractual constants.
- **C - Incorrect:** Interest-rate repricing can occur without a change in creditworthiness.
- **D - Correct:** Present-value discounting produces the inverse relationship for fixed cash flows.

Examiner trap 4: A yield move can reflect benchmark rates, credit spreads or liquidity; identify the driver.

MCQ 5

A bond pays an annual coupon of Rs 8 and trades at Rs 80. Its current yield is:

- A. 10 per cent
- B. 8 per cent
- C. 12.5 per cent
- D. Impossible without knowing maturity

Answer: A.

Option-specific explanations:

- **A - Correct:** Current yield equals 8 divided by 80 multiplied by 100.
- **B - Incorrect:** Eight per cent would be the coupon rate if face value were Rs 100.
- **C - Incorrect:** This reverses the numerator and denominator of the current-yield formula.
- **D - Incorrect:** Maturity is required for YTM but not for annual coupon divided by market price.

Examiner trap 5: Current yield omits redemption gain or loss and reinvestment.

MCQ 6

Which statement about duration is correct?

1. Modified duration approximates percentage price sensitivity to a small yield change.
 2. Longer duration generally means greater interest-rate sensitivity.
 3. Duration is the probability of issuer default.
- A. 1 only
 - B. 1 and 2 only
 - C. 2 and 3 only
 - D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Statement 2 follows directly from duration as a sensitivity measure.
- **B - Correct:** Duration measures cash-flow timing and local price sensitivity, while convexity refines the estimate.
- **C - Incorrect:** Statement 3 confuses market-rate sensitivity with credit analysis.
- **D - Incorrect:** The first two are correct; duration does not estimate default probability.

Examiner trap 6: Maturity and duration are related but not identical.

MCQ 7

Which risk arises when coupon cash flows must be reinvested at an uncertain future rate?

- A. Settlement principal risk
- B. Dilution risk
- C. Reinvestment risk
- D. Custody risk

Answer: C.

Option-specific explanations:

- **A - Incorrect:** That concerns one transaction leg completing without the other.
- **B - Incorrect:** Dilution concerns an expanding equity base or conversion into shares.
- **C - Correct:** Reinvestment risk changes the realised compound return even when promised coupons are paid.
- **D - Incorrect:** Custody risk concerns safekeeping and ownership records, not future coupon rates.

Examiner trap 7: Falling rates can raise bond prices while lowering reinvestment income.

MCQ 8

A zero-coupon bond ordinarily:

- A. Resets its coupon periodically to a benchmark
- B. Pays inflation compensation every month
- C. Allows the holder to demand early redemption in every case
- D. Makes no periodic coupon payment and is issued below redemption value

Answer: D.

Option-specific explanations:

- **A - Incorrect:** That describes a floating-rate bond.
- **B - Incorrect:** Inflation indexation is a separate cash-flow feature.
- **C - Incorrect:** A put right must be expressly embedded in the contract.
- **D - Correct:** The investor's return arises from the discount-to-redemption difference, subject to credit and market risk.

Examiner trap 8: Zero coupon does not mean zero yield or zero duration.

MCQ 9

A floating-rate bond most directly reduces:

- A. Fixed-coupon price sensitivity around its reset dates
- B. All default risk of the issuer
- C. All basis risk
- D. All inflation risk for every investor

Answer: A.

Option-specific explanations:

- **A - Correct:** Periodic benchmark resets pull the coupon toward market conditions, though spread and reset risks remain.
- **B - Incorrect:** Coupon reset cannot restore an insolvent issuer's capacity.
- **C - Incorrect:** The bond may reset against a benchmark different from the investor's liability exposure.
- **D - Incorrect:** A floating benchmark is not necessarily the investor's inflation index.

Examiner trap 9: Floating rate is not fixed purchasing-power protection.

MCQ 10

Inflation-indexed bonds are designed primarily to:

- A. Guarantee a positive after-tax real return
- B. Link specified principal or coupon cash flows to a stated inflation index
- C. Eliminate issuer credit risk
- D. Convert debt automatically into equity

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Tax, price, liquidity and indexation-lag effects can still reduce realised return.
- **B - Correct:** Indexation reallocates measured-inflation risk according to the contract.
- **C - Incorrect:** Indexation changes purchasing-power exposure, not the issuer's ability to pay.
- **D - Incorrect:** Conversion is a separate embedded option.

Examiner trap 10: Protection is only as broad as the indexed component and chosen price index.

MCQ 11

Which option is correctly matched?

- A. Puttable bond - issuer alone can force early redemption
- B. Convertible bond - investor can never become a shareholder
- C. Callable bond - issuer may redeem early under stated terms
- D. Callable bond - investor is guaranteed reinvestment at the old coupon

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A put right belongs to the investor, not the issuer.
- **B - Incorrect:** Conversion is precisely the contractual route from debt into equity.
- **C - Correct:** The issuer owns the call; the investor owns the put; conversion changes the claim.
- **D - Incorrect:** Calling often exposes the investor to lower-rate reinvestment risk.

Examiner trap 11: Optional exercise depends on the contract and should not be assumed automatic.

MCQ 12

Why may a convertible bond carry a lower coupon than an otherwise similar plain bond?

- A. Conversion removes all issuer default risk
- B. It is always secured by the issuer's shares
- C. The coupon is paid by the stock exchange
- D. The conversion option gives the investor potential equity upside

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Before conversion the instrument retains issuer credit exposure.
- **B - Incorrect:** Convertibility does not itself create collateral.
- **C - Incorrect:** The issuer remains responsible for contractual bond payments.
- **D - Correct:** The investor may accept less coupon in exchange for the embedded option's value.

Examiner trap 12: Convertible means eligible to convert under terms, not already converted.

MCQ 13

The defining characteristic of a Masala bond is that it is:

- A. Rupee-denominated debt issued overseas by an eligible Indian entity
- B. Foreign-currency debt issued only within India
- C. A Government of India inflation-indexed security
- D. A green bond certified by SEBI

Answer: A.

Option-specific explanations:

- **A - Correct:** Rupee denomination places direct INR currency movement on the overseas investor.
- **B - Incorrect:** That reverses both denomination and issuance location.
- **C - Incorrect:** Masala bonds are an external-borrowing category, not necessarily sovereign or indexed.
- **D - Incorrect:** Use of proceeds and currency denomination are independent features.

Examiner trap 13: Current ECB eligibility and maturity rules must be checked rather than inferred from the nickname.

MCQ 14

Consider the following statements about a listed green debt security:

1. Its proceeds are linked to eligible environmental purposes.
2. Additional allocation and impact disclosures address greenwashing.
3. Its label guarantees repayment.

Which statements are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Statement 2 reflects the disclosure and reporting logic of SEBI's green-debt framework.
- **B - Correct:** SEBI's 6 February 2023 framework links the label to use, tracking and disclosure of proceeds.
- **C - Incorrect:** Statement 1 defines the use-of-proceeds character, while statement 3 is false.
- **D - Incorrect:** A green label does not improve issuer solvency or create a repayment guarantee.

Examiner trap 14: Environmental integrity and credit quality are separate tests.

MCQ 15

Which return to an ordinary equity shareholder is contractual in the same way as bond interest?

- A. Dividend declared for every profitable year
- B. A minimum annual capital gain
- C. None; dividend and capital gain are not contractually fixed
- D. Repayment of issue price on a fixed maturity date

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Profit does not automatically require a dividend declaration.
- **B - Incorrect:** Market price can rise or fall and no minimum gain is promised.
- **C - Correct:** Equity is a residual claim; its return depends on enterprise performance, payout and market valuation.
- **D - Incorrect:** Ordinary shares have no bond-like maturity redemption.

Examiner trap 15: Ownership gives residual upside but not a promised periodic payment.

MCQ 16

A company's share price is Rs 50 and it has 20 crore shares outstanding. Its market capitalisation is:

- A. Rs 2.5 crore
- B. Rs 70 crore
- C. Cannot be calculated without EPS
- D. Rs 1,000 crore

Answer: D.

Option-specific explanations:

- **A - Incorrect:** This divides rather than multiplies price by shares.
- **B - Incorrect:** Adding price and share count has no valuation meaning.
- **C - Incorrect:** Market capitalisation needs price and shares outstanding, not earnings.
- **D - Correct:** Market capitalisation equals 50 multiplied by 20 crore shares.

Examiner trap 16: A stock split can change price and share count without mechanically changing total market value.

MCQ 17

Earnings per share should ordinarily use:

- A. Profit attributable to ordinary equity divided by weighted-average ordinary shares
- B. Revenue divided by closing share price
- C. Dividend divided by face value
- D. Market capitalisation divided by book debt

Answer: A.

Option-specific explanations:

- **A - Correct:** Weighted-average shares account for changes in the equity base during the reporting period.
- **B - Incorrect:** Revenue and market price do not define accounting earnings per share.
- **C - Incorrect:** That resembles a dividend-rate calculation, not EPS.
- **D - Incorrect:** This ratio does not allocate profit across shares.

Examiner trap 17: Basic and diluted EPS can differ because potential shares affect the denominator.

MCQ 18

A low P-E ratio by itself proves that a share is undervalued. This statement is:

- A. Correct because price alone determines intrinsic value
- B. Incorrect because earnings quality, cyclicalities, growth and risk also matter
- C. Correct whenever dividend yield is positive
- D. Incorrect only for government companies

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Price must be assessed against sustainable cash flow, assets, growth and risk.
- **B - Correct:** P-E is a comparison lens rather than an automatic investment conclusion.
- **C - Incorrect:** Dividend policy does not validate the earnings multiple.
- **D - Incorrect:** The limitation applies across ownership forms and sectors.

Examiner trap 18: Negative or temporarily inflated earnings can make P-E misleading.

MCQ 19

Which statement about preference shares is correct?

1. They carry preferential dividend and capital-repayment rights over ordinary equity.
 2. They are legally share capital.
 3. They always rank ahead of secured creditors.
- A. 1 only
 - B. 2 and 3 only
 - C. 1 and 2 only
 - D. 1, 2 and 3

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Statement 2 is also correct despite debt-like economic features.
- **B - Incorrect:** Statement 1 is correct, while creditor priority ordinarily precedes preference capital.
- **C - Correct:** Preference shares combine preferential economic rights with legal equity status.
- **D - Incorrect:** Statement 3 wrongly places share capital above secured creditor claims.

Examiner trap 19: Fixed-looking preference dividends do not automatically make the instrument a bond.

MCQ 20

A derivative's value is derived primarily from:

- A. The face value of the issuer's ordinary shares only
- B. The amount of margin posted only
- C. A guaranteed return set by the regulator
- D. An underlying asset, rate, index or event specified in the contract

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Derivatives can reference rates, currencies, commodities and indices as well as shares.
- **B - Incorrect:** Margin supports performance but does not define the underlying payoff.
- **C - Incorrect:** Regulators set conduct and risk controls, not guaranteed derivative profit.
- **D - Correct:** The contract maps changes in an underlying into gains, losses or cash-flow exchanges.

Examiner trap 20: Notional exposure can be much larger than initial cash paid.

MCQ 21

Which statement correctly distinguishes futures from forwards?

- A. Futures are standardised and exchange-cleared; forwards are generally customised OTC contracts
- B. Only forwards create obligations for both sides
- C. Futures have no counterparty-risk controls
- D. Forwards are necessarily illegal in India

Answer: A.

Option-specific explanations:

- **A - Correct:** Venue and standardisation alter liquidity, margining and counterparty structure.
- **B - Incorrect:** Both forwards and futures create symmetric obligations.
- **C - Incorrect:** Margins, mark-to-market and CCP clearing are core controls.
- **D - Incorrect:** Specified OTC forwards operate under regulatory frameworks.

Examiner trap 21: Customisation can reduce basis risk while increasing bilateral complexity.

MCQ 22

A call-option buyer has the right to:

- A. Sell the underlying at the strike
- B. Buy the underlying at the strike under the contract's terms
- C. Receive every gain without paying a premium
- D. Force the writer to exercise against the buyer

Answer: B.

Option-specific explanations:

- **A - Incorrect:** That is the right provided by a put option.
- **B - Correct:** A long call's intrinsic value is positive when spot exceeds strike.
- **C - Incorrect:** The option premium affects net payoff and break-even.
- **D - Incorrect:** Exercise choice belongs to the buyer, not the writer.

Examiner trap 22: The buyer's limited premium loss does not apply to an uncovered writer.

MCQ 23

A put-option buyer's payoff before premium is best represented by:

- A. Maximum of spot minus strike and zero
- B. Spot plus strike in every state
- C. Maximum of strike minus spot and zero
- D. The option premium multiplied by the notional

Answer: C.

Option-specific explanations:

- **A - Incorrect:** That is the intrinsic payoff of a call buyer.
- **B - Incorrect:** Option payoff is contingent, not a simple sum.
- **C - Correct:** A put protects against price falling below strike, with net profit reduced by premium.
- **D - Incorrect:** Premium is cost, not the intrinsic payoff formula.

Examiner trap 23: Strike is not break-even because premium must be recovered.

MCQ 24

An interest-rate swap commonly involves:

- A. Automatic transfer of ownership in the underlying loan
- B. Issue of ordinary shares by both counterparties
- C. Guaranteed elimination of all basis and counterparty risk
- D. Exchange of fixed and floating interest cash-flow streams on a reference notional

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The original financing can remain in place while exposure is transformed.
- **B - Incorrect:** A swap is a derivative contract, not reciprocal equity issuance.
- **C - Incorrect:** Benchmark mismatch and default exposure can remain.
- **D - Correct:** The notional commonly calculates payments and need not itself be exchanged.

Examiner trap 24: Do not confuse a derivative swap with a central-bank currency swap line.

MCQ 25

Which activity is a hedge?

- A. An exporter sells future dollars to offset a known dollar receivable
- B. A trader without exposure sells index futures to profit from a fall
- C. An investor buys unrelated options because volatility may rise
- D. A broker circulates matched orders to create false volume

Answer: A.

Option-specific explanations:

- **A - Correct:** The derivative offsets a pre-existing currency exposure in amount and direction.
- **B - Incorrect:** That creates a directional speculative position.
- **C - Incorrect:** Without an offsetting exposure this is speculation.
- **D - Incorrect:** That is manipulative conduct, not risk reduction.

Examiner trap 25: A mismatched tenor or quantity leaves basis or over-hedging risk.

MCQ 26

Consider the following sequence:

1. Adverse price movement
2. Variation-margin call
3. Forced sale to raise cash
4. Further price pressure

This sequence illustrates:

- A. Guaranteed arbitrage convergence
- B. A margin-liquidity spiral
- C. Elimination of leverage
- D. A passive index-rebalancing rule only

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Forced sales can widen dislocation rather than assure immediate convergence.
- **B - Correct:** Mark-to-market converts price volatility into current funding needs and can amplify fire sales.
- **C - Incorrect:** The sequence shows leverage transmitting stress.

- **D - Incorrect:** Margin calls can affect many leveraged portfolios, not only index funds.

Examiner trap 26: Margin reduces counterparty exposure but does not eliminate systemic liquidity risk.

MCQ 27

Which statement about exchange-traded and OTC derivatives is correct?

- A. Every electronic contract is exchange-traded
- B. Exchange trading eliminates leverage and basis risk
- C. OTC contracts can be regulated, reported, margined and sometimes centrally cleared
- D. OTC contracts can never be customised

Answer: C.

Option-specific explanations:

- **A - Incorrect:** An electronic trading platform can support an OTC market.
- **B - Incorrect:** Standardisation and CCP controls do not abolish economic exposure.
- **C - Correct:** OTC describes the execution/legal structure, not absence of regulation.
- **D - Incorrect:** Customisation is a principal OTC feature.

Examiner trap 27: Compare venue, standardisation, collateral, reporting and exit separately.

MCQ 28

A mutual fund's NAV per unit is broadly:

- A. Market price multiplied by trading volume
- B. Annual return divided by expense ratio
- C. Coupon income divided by face value
- D. Scheme assets minus liabilities, divided by units outstanding

Answer: D.

Option-specific explanations:

- **A - Incorrect:** That does not calculate a pooled portfolio's per-unit net assets.
- **B - Incorrect:** Performance and cost do not replace balance-sheet valuation.
- **C - Incorrect:** That is unrelated to the fund's total net assets and unit base.
- **D - Correct:** NAV allocates the scheme's net assets across outstanding units.

Examiner trap 28: ETF exchange price can trade above or below its contemporaneous NAV.

MCQ 29

Match the mutual-fund classification:

1. Open-ended - continuous purchase/redemption under scheme rules
2. Passive - seeks to track a benchmark
3. ETF - trades intraday on an exchange

Which is correct?

- A. 1, 2 and 3
- B. 1 only
- C. 1 and 2 only
- D. 2 and 3 only

Answer: A.

Option-specific explanations:

- **A - Correct:** All three are correct and should not be collapsed into a single category.

- **B - Incorrect:** The passive and ETF descriptions are also correct but refer to different classification axes.
- **C - Incorrect:** ETF exchange trading is the defining feature omitted by this option.
- **D - Incorrect:** Open-ended funds do permit continuing transactions under applicable NAV rules.

Examiner trap 29: An ETF may be passive, but ETF and index fund are not identical transaction structures.

MCQ 30

Which statement about direct and regular plans is correct?

- A. A direct plan gives the investor legal ownership of each portfolio security
- B. They normally share a scheme portfolio but differ in distribution cost and therefore expense ratio/NAV
- C. A regular plan guarantees adviser suitability
- D. Direct plans are exempt from the Riskometer

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The investor still owns mutual-fund units rather than individual securities.
- **B - Correct:** The direct plan excludes distributor commission from its plan expenses, while the regular route includes it.
- **C - Incorrect:** Distributor involvement does not guarantee product fit or return.
- **D - Incorrect:** Risk disclosure applies to the scheme regardless of distribution route.

Examiner trap 30: Lower expense does not make an unsuitable asset class suitable.

MCQ 31

Which comparison is most accurate?

- A. All four are ordinary open-ended mutual funds
- B. PMS issues identical pooled units to every client
- C. A REIT pools real-estate exposure, an InvIT pools infrastructure exposure, an AIF is a private pool, and PMS is client-specific management
- D. Direct stocks and bonds are themselves Category III AIFs

Answer: C.

Option-specific explanations:

- **A - Incorrect:** They operate under different legal and regulatory wrappers.
- **B - Incorrect:** PMS ordinarily manages a client-specific portfolio and reporting relationship.
- **C - Correct:** Asset base, pooling, ownership record, liquidity and investor-protection framework distinguish the vehicles.
- **D - Incorrect:** Underlying securities are not transformed into pooled vehicles by classification.

Examiner trap 31: Do not infer tax treatment or guaranteed distributions from the product label.

MCQ 32

Consider the following regulatory map:

1. SEBI - domestic listed securities, mutual funds and AIFs
2. RBI - specified OTC interest-rate and foreign-exchange derivatives
3. PFRDA - National Pension System
4. IFSCA - financial products and institutions in an IFSC

Which option is correct?

- A. 1 and 2 only
- B. 1, 3 and 4 only

- C. 2, 3 and 4 only
- D. 1, 2, 3 and 4

Answer: D.

Option-specific explanations:

- **A - Incorrect:** PFRDA and IFSCA also have the stated specialised jurisdictions.
- **B - Incorrect:** RBI's functional perimeter includes specified OTC rate and currency derivatives.
- **C - Incorrect:** SEBI is the principal domestic securities and fund-market regulator.
- **D - Correct:** All four matches are correct, subject to statutory overlap and cross-border coordination.

Examiner trap 32: Regulator mapping follows product, activity, entity and location rather than one universal label.

PYQS AND ANSWER PRACTICE

Official-key discipline

- The three 2025 questions reproduce the locally held official-paper wording and Set-A keys.
- The 2026 route has only a provisional local key and therefore receives no answer letter.
- Five historical routes reproduce only the audited neutral demand because their official keys and exact option text are unavailable locally.

PYQ 1 - UPSC Prelims 2025, Q1

Question: With reference to investments, consider the following:

- I. Bonds
- II. Hedge Funds
- III. Stocks
- IV. Venture Capital

How many of the above are treated as Alternative Investment Funds?

- (a) Only one
- (b) Only two
- (c) Only three
- (d) All the four

Official Set-A answer: (b) Only two.

Solution: Hedge funds fall within Category III AIFs and venture-capital funds within Category I. Bonds and stocks are direct securities, not pooled vehicles. The examiner's trap is to confuse assets that a fund may hold with the legal wrapper through which investors pool capital.

PYQ 2 - UPSC Prelims 2025, Q7

Question: Consider the following statements:

Statement I: As regards returns from an investment in a company, generally, bondholders are considered to be relatively at lower risk than stockholders.

Statement II: Bondholders are lenders to a company whereas stockholders are its owners.

Statement III: For repayment purpose, bondholders are prioritized over stockholders by a company.

Which one of the following is correct in respect of the above statements?

- (a) Both Statement II and Statement III are correct and both of them explain Statement I
- (b) Both Statement I and Statement II are correct and Statement I explains Statement II
- (c) Only one of the Statements II and III is correct and that explains Statement I
- (d) Neither Statement II nor Statement III is correct

Official Set-A answer: (a).

Solution: Bondholders are creditors with contractual claims and generally rank before residual shareholders. Those features explain the relative-risk statement. Relatively lower risk is not risk-free: default, interest-rate, liquidity and inflation risks can still impose loss.

PYQ 3 - UPSC Prelims 2025, Q8

Question: Consider the following statements:

- I. India accounts for a very large portion of all equity option contracts traded globally thus exhibiting a great boom.
- II. India's stock market has grown rapidly in the recent past even overtaking Hong Kong's at some point of time.
- III. There is no regulatory body either to warn the small investors about the risks of options trading or to act on unregistered financial advisors in this regard.

Which of the statements given above are correct?

- (a) I and II only
- (b) II and III only
- (c) I and III only
- (d) I, II and III

Official Set-A answer: (a) I and II only.

Solution: Follow the official key. Statement III is false because SEBI regulates the securities derivatives market, issues risk disclosures and acts within its adviser and market-conduct frameworks. Do not freeze the question's market-volume ranking as a permanent statistic; the durable concept is that rapid retail derivatives growth triggered stronger investor-protection and stability measures.

Routed PYQ 4 - UPSC Prelims 2026, Q90

Neutral demand: Real-world asset tokenisation using blockchain and investment access.

Answer withheld pending official UPSC key.

Route: Tokenisation can fractionalise or transfer a representation of an underlying claim, but legal title, custody, redemption, disclosure, settlement finality and regulatory perimeter remain decisive. The provisional local key is not represented as official.

Historical routed demands - official keys unavailable locally

Year and question	Neutral routed demand	Answer status	Learning route
2019 Q67	Participatory Notes issued to overseas stock-market investors	Answer withheld pending official UPSC key.	Offshore instrument issued by a registered FPI; not direct domestic ownership
2022 Q5	Inflation-Indexed Bond features and investor benefits	Answer withheld pending official UPSC key.	Session 6; index link and limitations
2022 Q65	Convertible-bond interest and equity-conversion features	Answer withheld pending official UPSC key.	Session 7; debt plus embedded equity option
2023 Q21	InvIT tax treatment and SARFAESI comparison	Answer withheld pending official UPSC key.	Session 24; vehicle classification before tax/recovery law
2023 Q73	Beta as stock-market volatility measure	Answer withheld pending official UPSC key.	Optional Advanced; relative market sensitivity, not return

ORIGINAL MAINS PRACTICE AND MODEL ANSWERS

Counts cover only each isolated answer body using the native alphanumeric-token regex.

M1 - 10 marks - 150 words

Question: Why can a bond generate loss even when its issuer makes every promised payment?

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (132 native-body words):

A bond's contractual performance does not fix its resale value or realised return. When market yields rise, the present value of fixed coupons and principal falls, producing a mark-to-market loss. Longer duration increases this sensitivity. A widening liquidity premium can force a larger price concession even without deterioration in issuer solvency.

Reinvestment risk works differently: coupons received during the holding period may be reinvested at lower rates. Inflation can erode the purchasing power of nominal payments. Callable bonds can be redeemed when rates fall, removing upside and forcing reinvestment. Foreign-currency exposure can change the investor's home-currency return.

Thus credit risk is only one component. An investor should distinguish default, interest-rate, duration, liquidity, reinvestment, inflation, optionality and currency risks. Fixed income describes the cash-flow rule, not a guaranteed market price or real return.

M2 - 10 marks - 150 words

Question: Distinguish hedging, speculation and arbitrage in derivatives markets.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (146 native-body words):

Hedging uses a derivative to offset a pre-existing exposure. An exporter expecting dollar receipts may sell dollars forward, accepting basis and timing risk in exchange for more predictable rupee cash flow. Speculation creates or enlarges exposure: a trader buying index options without an offsetting portfolio seeks profit from price movement. Arbitrage combines offsetting positions to exploit inconsistent prices across related claims.

The contract name does not reveal purpose. A future can hedge inventory or create a leveraged directional bet. Position size, maturity and underlying match determine whether total risk falls. Over-hedging can reverse exposure, while funding costs and execution delays make arbitrage imperfect.

Regulation should therefore support genuine risk transfer through transparent prices, margins and reporting while controlling leverage, manipulation and unsuitable retail participation. Derivatives are neither inherently protective nor inherently harmful; their economic effect follows the exposure they create after considering the user's original position.

M3 - 15 marks - 250 words

Question: Compare forwards, futures, options and swaps as instruments of risk transfer.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (226 native-body words):

Forwards and futures create symmetric obligations to transact later at an agreed price. A forward is customised and usually over the counter, providing a close hedge match but leaving bilateral valuation, documentation and counterparty exposure. A future is standardised, exchange-traded and centrally cleared. Daily mark-to-market and margin reduce accumulated counterparty risk but create immediate liquidity demands.

Options create asymmetric rights. A call buyer may buy and a put buyer may sell at the strike; either can allow the option to expire. The buyer pays a premium and, for a simple long option held to expiry, limits contractual loss to that premium. The writer receives premium but bears the contingent obligation and may face large margin calls. Strike, premium, time and volatility shape payoff.

Swaps exchange cash-flow streams, such as fixed for floating interest or specified currency-linked flows. The reference notional may calculate payments without being exchanged. Swaps can transform balance-sheet exposure without refinancing the original liability, but basis and counterparty risks remain.

All four can hedge or speculate. Exchange standardisation supports liquidity and transparent risk management; OTC customisation can reduce basis risk. SEBI governs exchange-traded securities derivatives, while RBI governs specified OTC rate and currency derivatives. Sound regulation therefore combines reporting, collateral, position controls, central clearing where appropriate and suitability. The test is not product complexity alone but whether residual exposure and liquidity demands are understood.

M4 - 15 marks - 250 words

Question: Evaluate the investor-protection architecture of mutual funds in India.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (212 native-body words):

A mutual fund separates functions across a trust, asset management company, trustees and custodian. Investors hold units representing a proportionate claim on scheme net assets; they do not directly own each security. This architecture limits commingling and assigns portfolio management, oversight and custody to different entities.

SEBI's Mutual Funds Regulations dated 16 January 2026, effective 1 April 2026, and Master Circular dated 20 March 2026 provide the current framework. Scheme Information Documents, Key Information Memorandums, portfolio and expense disclosures, valuation rules and the Riskometer support informed choice. Direct and regular plans disclose distribution-cost differences. The Riskometer's six levels communicate portfolio risk but neither predict return nor cap loss.

Liquidity safeguards matter because open-ended redemption can conflict with illiquid assets. Stress testing, borrowing limits, fair valuation and segregated portfolios after specified credit events help allocate losses equitably. Trustees oversee compliance, while custodians safeguard assets. SCORES 2.0 adds automated grievance routing, escalation and review.

Limits remain. Disclosure can overwhelm investors, credit ratings can change late, NAV can lag executable prices in stress and side pockets isolate rather than erase loss. Distributor incentives can create mis-selling. Protection must therefore combine understandable labels, cost transparency, liquidity management, independent oversight, suitability and prompt remedy. Regulation should enable diversified household participation without implying guaranteed capital or performance.

M5 - 20 marks - 250 words

Question: Compare mutual funds, ETFs, REITs, InvITs, AIFs, PMS and NPS as investment vehicles.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (227 native-body words):

These vehicles differ in pooling, asset mandate, liquidity, ownership record and regulatory purpose. A mutual fund pools investors into scheme units at net asset value. Open-ended units transact with the fund under applicable NAV rules; an exchange-traded fund trades intraday and can deviate from NAV despite creation-redemption mechanisms. Active and passive describe management style, not liquidity form.

REITs and InvITs are SEBI-regulated trust vehicles linked respectively to real-estate and infrastructure cash flows, often through special-purpose vehicles. Their distributions and prices remain exposed to occupancy, tariffs, project operation, leverage and valuation. An AIF is a privately pooled vehicle: Category I includes specified venture or developmental strategies, Category II is the residual private-fund category and Category III may use complex or leveraged strategies. PMS instead manages a client-specific portfolio and reporting relationship.

NPS is a PFRDA-regulated defined-contribution pension architecture. NPS Trust, pension funds, the Central Recordkeeping Agency, Points of Presence and custodian perform separate functions. It is designed for retirement accumulation rather than ordinary mutual-fund liquidity.

SEBI's 2025-2026 master circulars govern the domestic fund and trust vehicles; PFRDA governs NPS; IFSCA governs fund management within an International Financial Services Centre. No wrapper guarantees return. A sound comparison must ask who owns the assets, who can redeem, how price is formed, what leverage is permitted, which disclosures apply and whether the product matches the investor's horizon and capacity for loss.

M6 - 20 marks - 250 words

Question: Securities-market innovation improves allocation but can amplify systemic and household risk. Critically examine.

Demand plan: define the instrument or vehicle, compare legal and economic functions, attach dated Indian regulation, analyse the risk channel and end with a qualified verdict.

Model answer (213 native-body words):

Innovation expands financing and risk-sharing. Convertible and green bonds tailor issuer obligations; exchange-traded funds lower diversification costs; REITs and InvITs open access to operating assets; derivatives let firms hedge rates, currencies and prices. Dematerialisation, electronic trading and shorter settlement improve transfer and reduce some operational exposure.

The same features create new fragilities. Derivative leverage permits large notional exposure against limited capital. Adverse moves generate margin calls and forced sales. Open-ended funds can promise redemption against less-liquid holdings, creating a sale-price-redemption spiral. Passive products can concentrate flows in common index constituents, while ETF market prices can detach from NAV during stress. Complex labels, social-media promotion and unregistered advice magnify household mis-selling.

India's regulatory response is functional. SEBI's October 2024 and 2025 equity-derivative measures strengthened premium collection, monitoring and stability controls. Its 2026 mutual-fund framework combines disclosure, Riskometer, custody and liquidity tools. RBI's 2024-2025 OTC derivative margin directions address bilateral exposure. PFRDA and IFSCA govern pension and IFSC domains.

Yet compliance cannot guarantee suitability or market liquidity. Regulation should align margin with risk, monitor common leverage and concentration, stress-test funds and clearing corporations, enforce insider-trading and PFUTP rules, disclose costs and payoff asymmetry, and provide effective grievance review. Innovation is welfare-enhancing only when legal title, transparent valuation, loss-bearing capacity and resilient exit arrangements develop together.